

The “Four” Rules of Real Estate

by The VisionWise Capital Education Library

Most people know the “[three rules of real estate](#)”: location, location, location! I would never dispute the significance of this assessment. However, I would like to add one more rule (#4) to the list — “Net Operating Income (NOI)”. The success of an income property investment hinges on one single figure, NOI. Accurately calculating Net Operating Income is *the* key financial metric for projecting the risk-adjusted return that you can expect when purchasing an income property. [VisionWise Capital](#) has become an expert at calculating and applying NOI to best evaluate the risk and return of an asset before buying it.

Of course, our conviction that NOI is real estate’s most important number can sometimes give investors pause. Investors sometimes think “one number” is too simple. Yet, a major reason investors avoid real estate as a product category is they believe it is too complicated, and it therefore “feels” too risky. We have found that by helping investors understand and apply key real estate terms like “NOI”, it enables them to experience confidence around a seemingly complicated investment option. Most investors want to invest in what they intuitively know is the most reliable asset class available to investors through time - real estate.

At VisionWise Capital we want to unlock your investing potential, *while also limiting your risk*. This article will help set you on a course of understanding and show you how one number, Net Operating Income (“NOI”), can move the value of an income property, and help you identify a good investment from a poor investment.

First, the formula. Net Operating Income equals:

Scheduled Rental Income

- + All Other Sources of Income
- Vacancy
- Late Pays or Loss of Rents

Gross Operating Income

- Operating Expenses

Net Operating Income (NOI)

There are only two important factors when determining the Net Operating Income for a commercial property: “Income” and “Expenses”.

With real estate, “income”, known in businesses as “revenues”, primarily occurs in the form of monthly rents; while operating “expenses” are the costs required to keep the property in good working order. Like any business, operating *revenues* minus operating *expenses* equals operating *profit (NOI)*.

NOI is the line item that represents the operating profit of an income real estate asset. The best performing real estate investors are innovative in their understanding of how to manage revenue sources and expenses. (Note that the mortgage payment and non-operating expenses like depreciation are not included in “operating expenses”. It is important to remember that only those costs needed to keep the property in good working order fit the category of “operating” expenses.

The art of quantifying NOI is the primary skill of an analyst when performing due diligence on a property’s financial data. The analyst considers several forms of real estate income including both the property’s current income sources and potential streams of income yet untapped by the current owner. As a buyer, your primary job is to find this upside in NOI. For example, in coastal community apartments, parking is considered a prime amenity. Finding an available residential parking space in Laguna Beach can take 30-40 minutes. As a whole, beach communities are notorious for having inadequate parking. Guests will often circle the block a few times to find a parking space that could still be several blocks from the residents front door. This forces competition for a metered space on the street.

If a parking meter costs \$5.00 per day (\$150/month), the tenant may find it more cost effective to pay \$100 per month to have their own parking space as a potential convenience to offer their guests. Now do the math. For a ten-unit property, that’s an additional \$1,000 per month of parking revenue (\$100 per month times ten units), which is \$12,000 per year of mostly added profit directly impacting “NOI”. This added stream of income can be the difference between an average investment and a superior one, which I will explain further in an upcoming article on the use of “Cap Rates”, which is defined by a formula that uses Net Operating Income as its primary input.

Another often missed revenue opportunity is unit count. In 2014, VWC purchased what was offered as a 195-unit apartment property in northern California. While completing our due diligence we recognized there were (24) eight-unit buildings on the site...the product should be an even number (It was clear that the math was off). We discovered that the management company was using one of the vacant studio apartments as a “maintenance” room. This represented a \$190,000 mistake due to the loss of over \$9,000 of annual rental income that could have been used to increase NOI.⁽¹⁾

In most apartment communities, there is laundry income, storage income, pet income, and other valuable attributes paid for by the residents who

value the benefits and conveniences of parking in a garage with a remote door opener versus parking on the street; doing laundry in their unit versus using a public coin-operated laundromat.

When we apply this same measured discipline to expenses, we can find many ways of reducing the cost to keep the property in good working order. For example, we utilize water conservation irrigation in the common area landscape and planters; we install a product inside the units called Luxury Vinyl Tile (LVT), which is water resistant instead of the less expensive but less durable wall-to-wall carpet; and by adjusting property insurance deductibles we reduce the cost of insurance premiums.

What about resident turnover expenses? Hosting community barbeques can increase tenant loyalty, building relationships amongst residents and ultimately reducing tenant “turnover”. This further reduces repairs/maintenance costs on the property.

The premise of focusing on a single metric is not unique to real estate investing. The search for the “one number” is found in most well-run companies where it is common for CEOs to focus on key metrics that ensure the company stays on course in what they do every day. The rise or fall in the one number drives *everything*. For example, the leadership teams of meal delivery companies, like Blue Apron and HelloFresh, obsess about one metric: [Customer Acquisition Cost](#) (CAC). CAC tracks how much a company must spend to attract new customers. Whether it is YouTube advertising or sponsoring friend referral programs, the meal delivery business runs off this single metric. If company CEOs can recognize the significance of a single number, couldn't you? You are, after all, uniquely responsible for your own family's wealth.

Let's agree, NOI is the most important number in evaluating commercial income property, whether on the buy or sell side of the transaction. Total Income minus Operating Expenses equals Net Operating Income. Two components ... One Number!

But you don't have to bear the full burden. VisionWise Capital is obsessed in reducing your investment risk by accurately identifying the known and discoverable qualities of the “four rules of real estate”: Location, Location, Location, & NOI.

Unlock the power of commercial real estate by contacting us today at sanford@visionwisecapital.com or (949) 441-5580 to learn more.

- (1) \$9,000 of additional income, less vacancy of 5% = \$8,550 per year of NOI; divided by a 4.5% cap rate
= \$190,000 of additional value.